

The Graffiti Towers Sale Is Stalled Because the City Sees the Billboard, Not the Building

The \$470M Oceanwide Plaza deal reveals a capital structure where the most valuable asset is not the real estate.

The most valuable asset inside Oceanwide Plaza is not the unfinished condos, the empty hotel shell, or the graffiti-tagged facades that made the towers infamous. It is the 50,000-square-foot digital billboard wrapped around the base. That is the tension at the center of the stalled \$470 million bankruptcy sale. The prospective buyer, Kali Chaudhuri's KPC Square, has a clear economic incentive to activate the LED sign as quickly as possible.

Multiple sources told the New York Post that the billboard alone could generate tens of millions of dollars in annual advertising revenue. The rest of the project, which would cost an estimated \$1 billion to complete, is a longer-term, higher-risk proposition. The city of Los Angeles sees this. In court filings, officials argued that Chaudhuri has not provided a sufficiently detailed roadmap for finishing the three-tower complex.

They have met with the buyer six times and still pushed the bankruptcy court decision to July 20. The city is not blocking the sale. It is demanding a credible plan for the whole project, not just the revenue-generating piece. This is a capital structure problem disguised as a permitting dispute. The purchase and sale agreement, as reported, does not contractually obligate the buyer to a construction schedule or completion timeline.

That means KPC Square could legally complete the billboard, turn it on, and collect the advertising income while the towers above remain a skeleton. The city is trying to prevent that outcome. The buyer, naturally, wants optionality. From a capital markets perspective, the logic is straightforward. The billboard is a low-capital, high-yield, instantly cash-flowing asset.

The towers are a capital-intensive, multi-year development with uncertain demand, construction risk, and a \$1 billion price tag. Any rational investor would prioritize the billboard. The question is whether the city will allow the capital stack to be built that way. Chaudhuri's group is not the first to see this arbitrage. The original developer, Beijing-based Oceanwide Holdings, also planned to monetize the digital signage.

But Oceanwide ran out of cash in 2019 at 60 percent completion, leaving the towers abandoned and vulnerable to the vandals who turned them into a global symbol of stalled development. The billboard was always part of the plan. The difference is that Chaudhuri may be willing to stop there. The city's skepticism is rational.

If the billboard activates without a binding commitment to finish the towers, Los Angeles gets a giant LED sign generating revenue for a private owner while the eyesore above remains. The city would have traded one embarrassment for another: a graffiti-covered tower for a skeleton with an LED belt, as critics put it. For lenders and investors watching this deal, the signal is not about downtown Los Angeles real estate fundamentals.

It is about the growing gap between what a distressed asset is worth in pieces and what it is worth as a whole. The billboard is worth tens of millions. The towers, in their current state, may have negative value. The buyer is trying to buy the whole for the price of the part, and the city is trying to force the whole to be built. Who benefits?

Chaudhuri, if he can secure the sale without a binding completion timeline. The city, if it can force a credible plan. The bankruptcy estate, which needs a clean exit. The advertising company that would operate the billboard. The existing creditors, who get a recovery on a loan that looked hopeless. Who is exposed? Any lender or equity partner who funds the billboard phase without a guarantee that the towers will follow.

The city, if the deal collapses and the towers remain a blight. The broader downtown LA market, which needs the project resolved to restore confidence in the area's development pipeline. The next thing to watch is the July 20 hearing. If the court approves the sale without a binding completion schedule, the market will have a clear signal that billboard economics can drive distressed asset sales.

If the court sides with the city, the deal may fall apart, and the Graffiti Towers will remain a monument to the gap between what a project costs and what a buyer is willing to commit. The most important number in this story is not \$470 million. It is the annual revenue from that billboard. That number will decide whether the towers ever get finished.

About Us

Light Tower Group is a commercial real estate capital advisory firm helping owners, developers, and investors structure and source debt, preferred equity, joint venture equity, and other institutional capital solutions.

We work across acquisitions, refinancings, recapitalizations, and development projects, with a focus on clear strategy, credible execution, and capital that fits the deal.

To discuss a financing need, recapitalization, or capital strategy:

ben@lighttowergroup.co

lighttowergroup.co